

Good farmland, like good Paris apartments, is coveted by neighbors. When a productive farm comes on the market, it is usually snatched up immediately. But every once in a while, we are offered the opportunity to buy a farm. The first question, of course, should be “what’s wrong with it?” Unless you’re one of the neighbors, or unless you really know what you are doing, you have to assume that the neighbors are describing you as the “out-of-towner moron” who might buy it.

Occasionally, you see major efforts to market farmland to people in other countries. Expensive brochures are printed up. Sophisticated financial projections are made. Investors are permitted to see themselves making high returns on what seems like a can’t-lose proposition. After all, the world needs more food! Sometimes investors are even told that their earnings are “guaranteed.” What’s more, they don’t have to do anything. The organizer guarantees to lease back the land and operate the farm for you.

Wow, you say. What a great deal! Then, the next thought should be a question:

“How come such a great deal is being offered to me?”

The answer comes back polished and bright, from frequent handling: because the owner doesn’t have enough capital. You’ve got him at your mercy. He needs foreign investors!

Most likely, the deal is a bad one. Capital is footloose. It wanders the world, always looking for a safe, productive home. It doesn’t miss much. And local investors, like insiders everywhere, rarely pass on a good opportunity to strangers.

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But you never know. And there are special circumstances in which the insiders don’t take up a good investment. We are all moody. And sometimes we get in such a funk we don’t see things for what they are actually worth. At least, that was our thinking when we bought our ranch in Argentina. It is in a desolate corner of the country. It had been for sale for years. No one wanted it. All the neighbors had rejected it. Heck, we discovered later that even the knowledgeable foreigners had turned it down. There were several